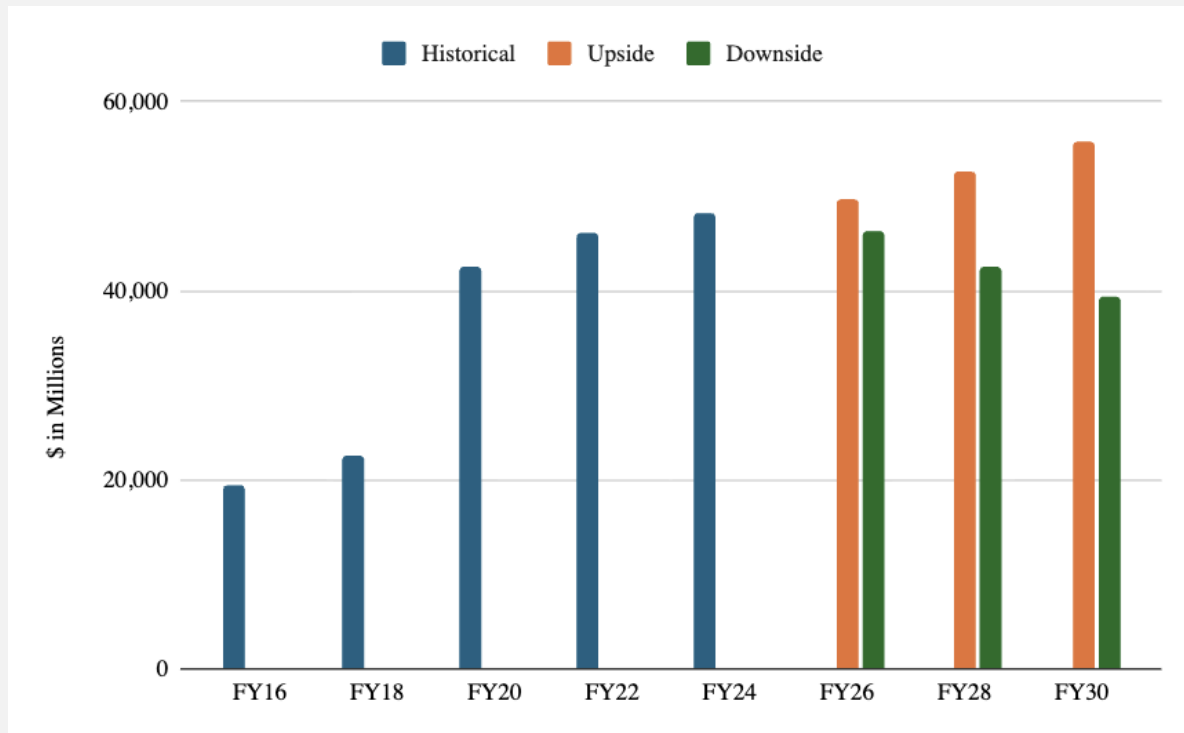


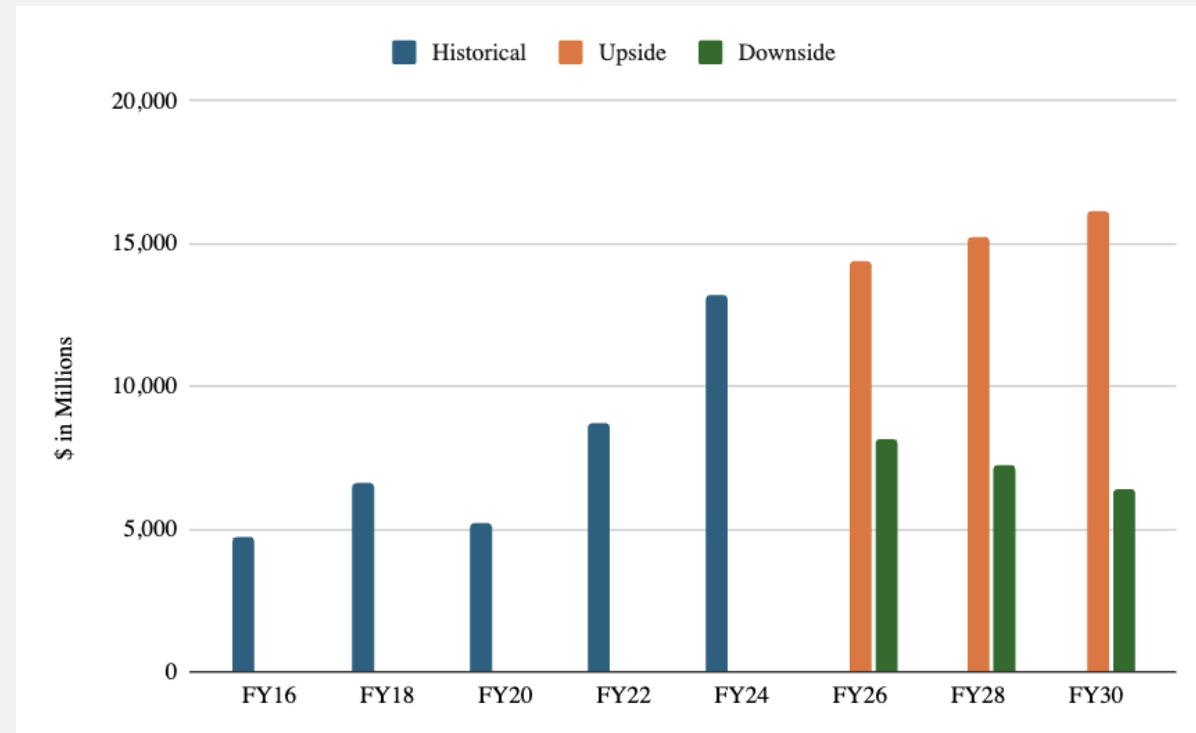
BRISTOL MYERS SQUIBB

By: Nidhi Reddy

PROJECTIONS AND KEY DRIVERS



Revenue Projections



Net Income Projections

PROJECTIONS AND KEY DRIVERS

Projection Assumptions	Upside	Downside
5yr Revenue CAGR	1.4%	-4.0%
Gross Margin	75.6%	71.5%
SG&A (% of Revenue)	16.4%	16.4%
5yr Avg Net Profit Margin	28.9%	16.9%
PE Multiple in 2030	16.0x	10.0x

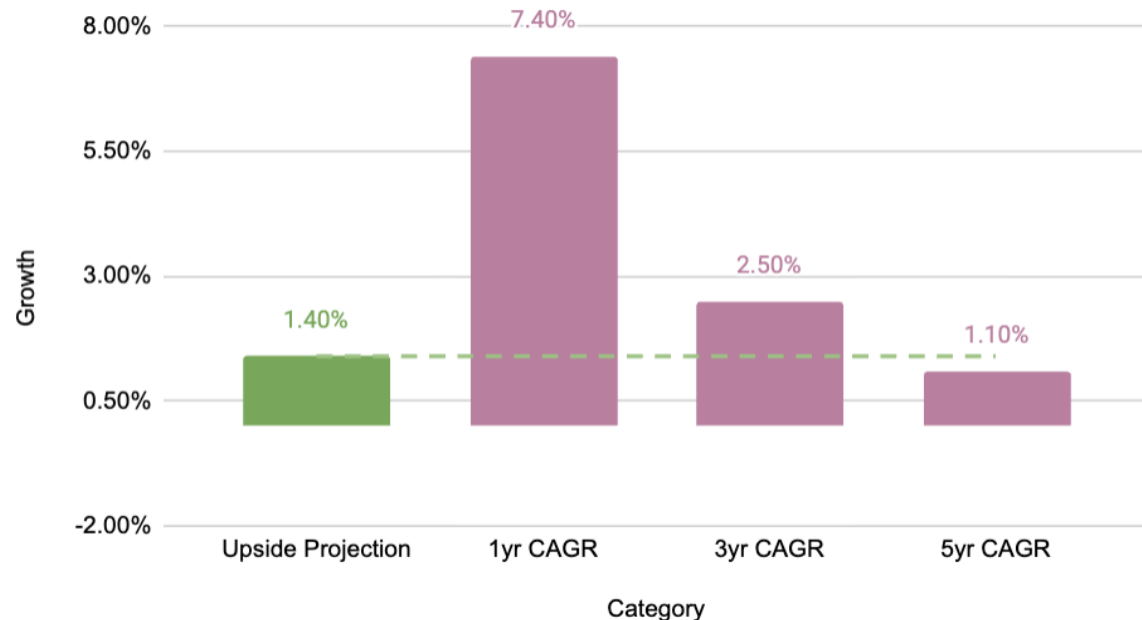
PROJECTIONS AND KEY DRIVERS

- **Revenue growth is the key driver for Bristol Myers Squibb.**
- **Upside Case:** Assumes Bristol Myers Squibb can offset patent expirations through strong growth from newer medicines, successful pipeline launches, and continued expansion in oncology and immunology.
- **Downside Case:** Revenue declines as key drugs lose exclusivity, with slower adoption of new therapies and increased competition from generic and biosimilar products.
- **The PE Multiple in 2030 will be largely driven by Bristol Myers Squibb's ability to sustain long-term earnings growth and successfully replace revenue from drugs facing patent expiration.**

EVALUATING UPSIDE ASSUMPTION

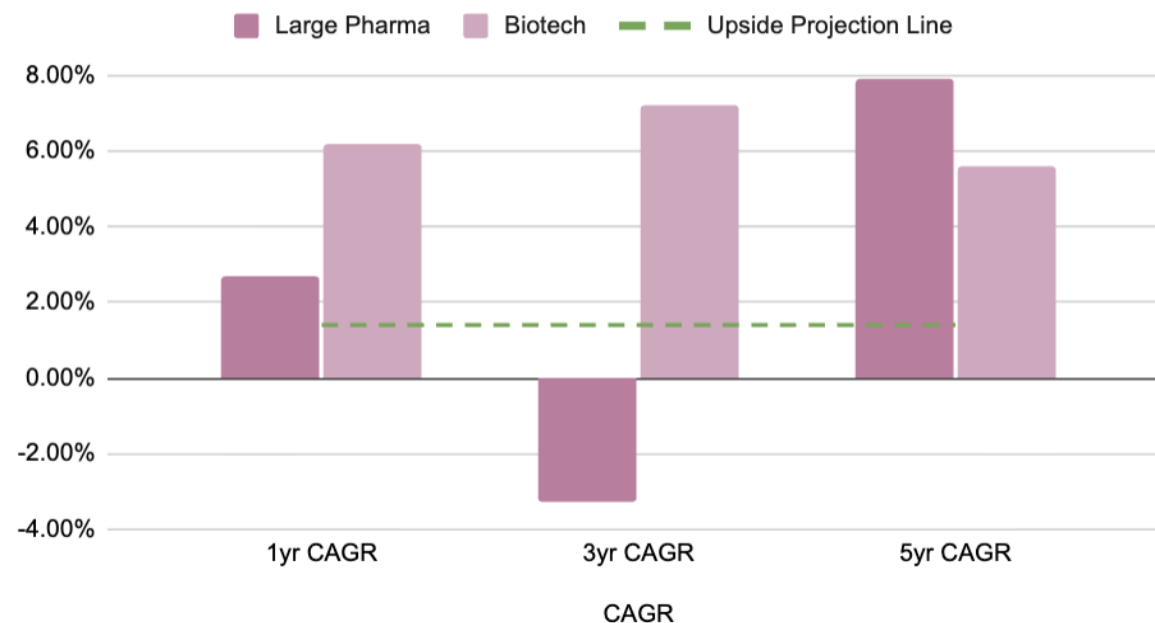
For our upside case, we've assumed that Bristol Myers Squibb could potentially sustain a **1.4% growth rate over the next 5 years**. This would be supported by growth from newer products and successful pipeline launches helping offset upcoming patent expirations.

Bristol Myers Squibb Historical Revenue Growth



Historical Revenue Growth

Revenue Growth of Comparable Peers

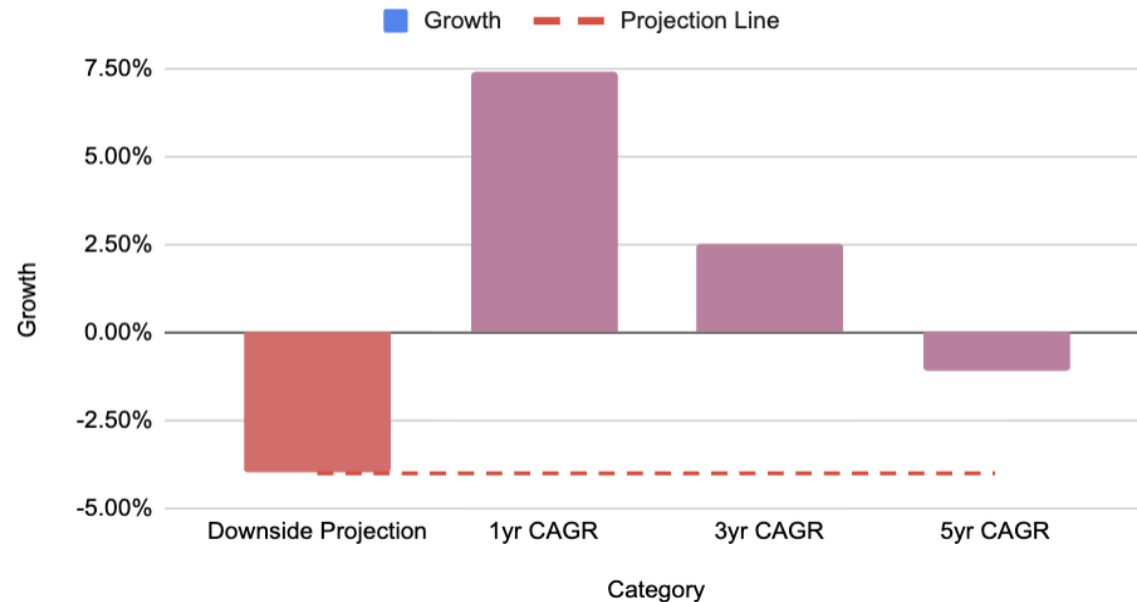


Revenue Growth of Comparable Peers

EVALUATING DOWNSIDE ASSUMPTION

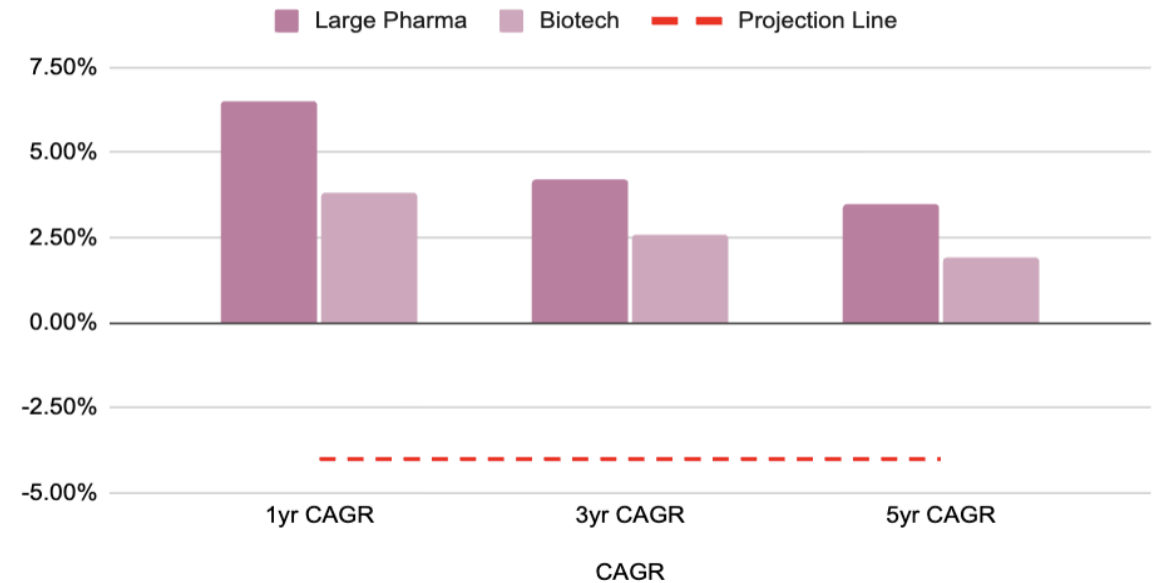
An anticipated range of -4.0% to 1.4% revenue growth over the next 5 years appears reasonable when compared to the historical revenue growth of comparable pharmaceutical peers.

Bristol Myers Squibb Historical Revenue Growth



Historical Revenue Growth

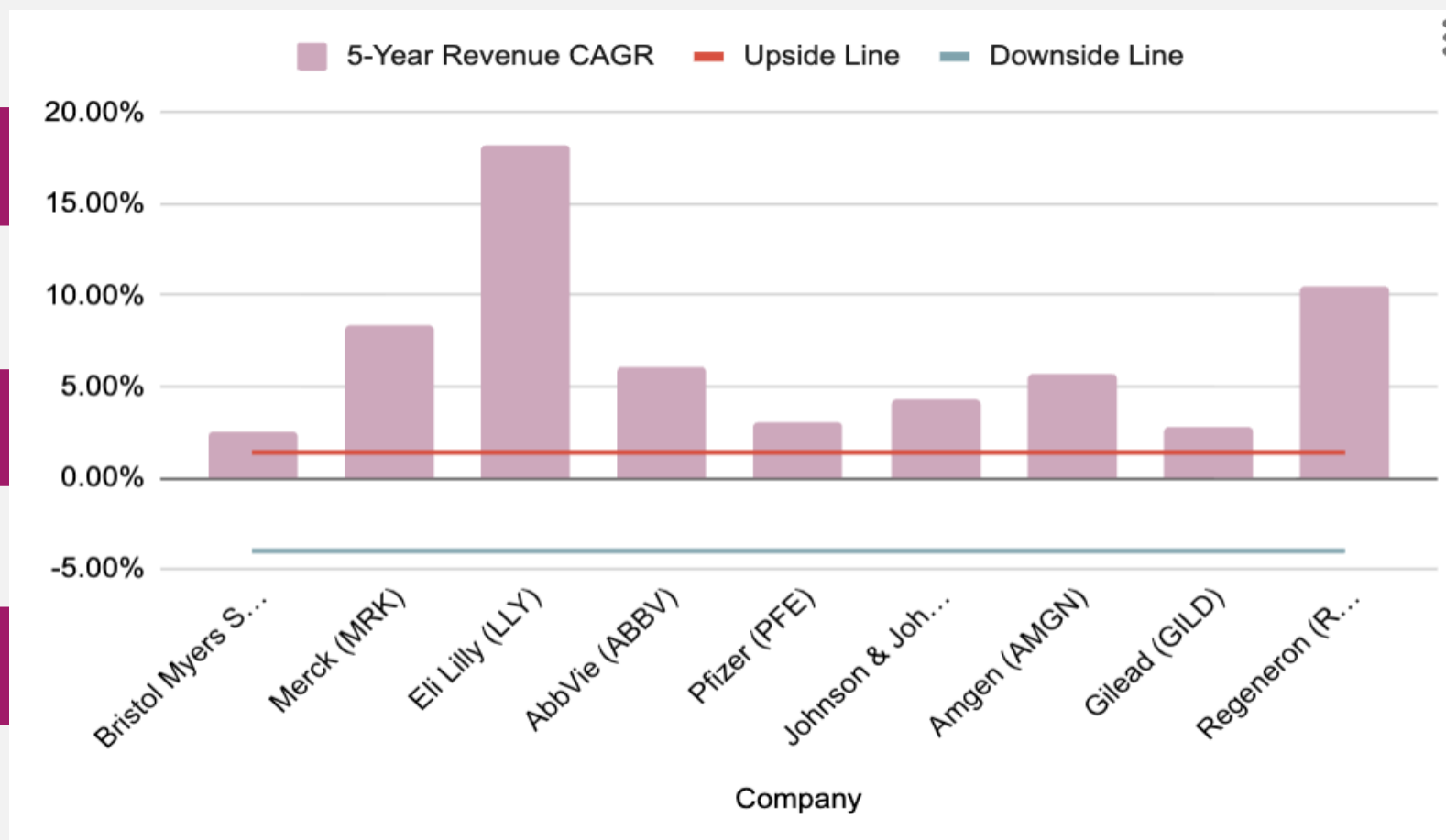
Revenue Growth of Comparable Peers



Revenue Growth of Comparable Peers

REVENUE PROJECTIONS VS. PEERS

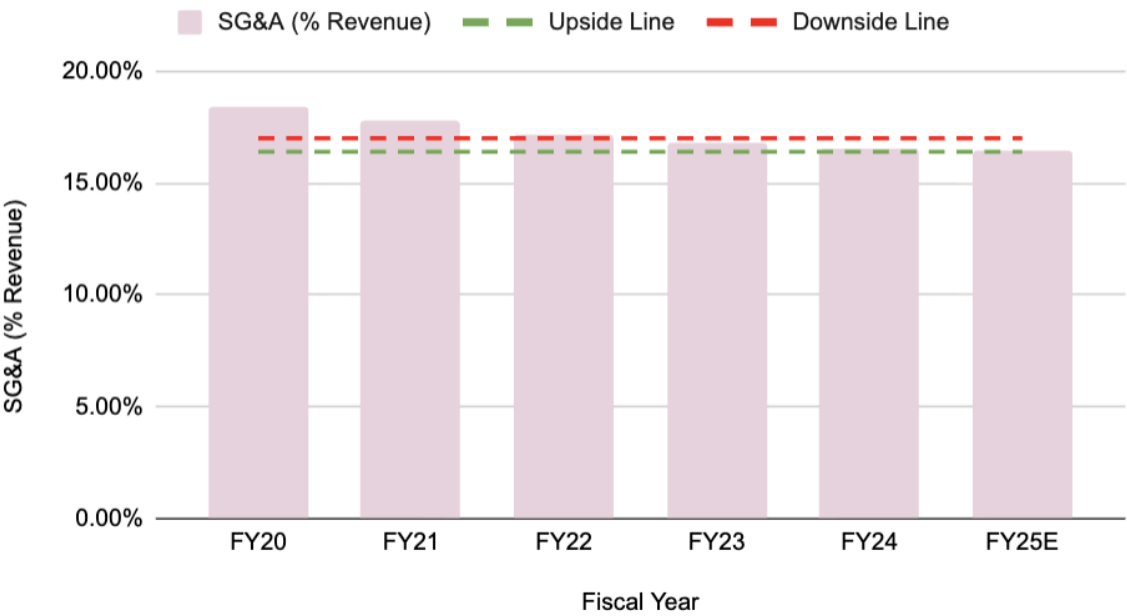
For our downside case, we've assumed that Bristol Myers Squibb could experience a **-4.0% growth rate over the next 5 years**. This reflects the impact of major patent expirations, increased competition, and slower growth from newer products.



SG&A ASSUMPTIONS

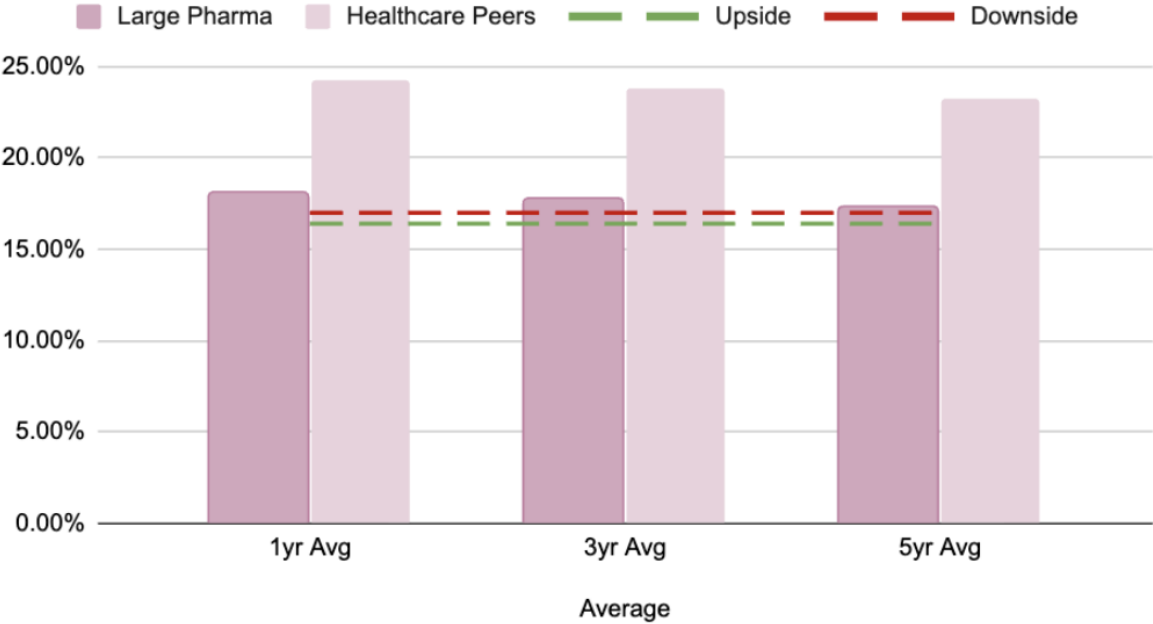
Bristol Myers Squibb's SG&A has remained relatively stable in recent years. We expect it to improve slightly in the upside case (16.4%) and increase modestly in the downside case (17.0%) due to slower revenue growth.

SG&A (% Revenue) vs. Fiscal Year



BMV SG&A

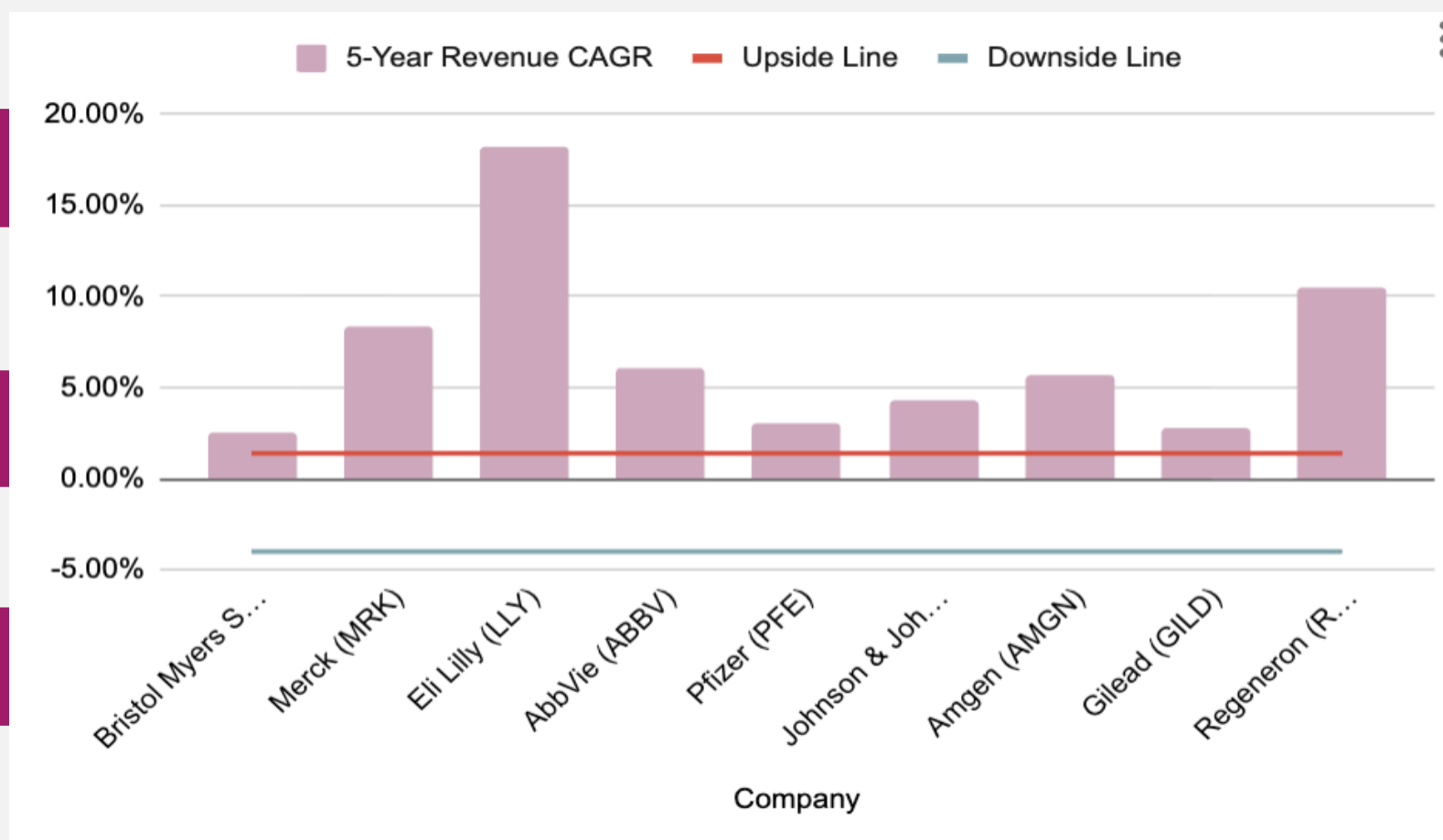
Large Pharma and Healthcare Peers



Comparable Comps SG&A

REVENUE PROJECTIONS VS. PEERS

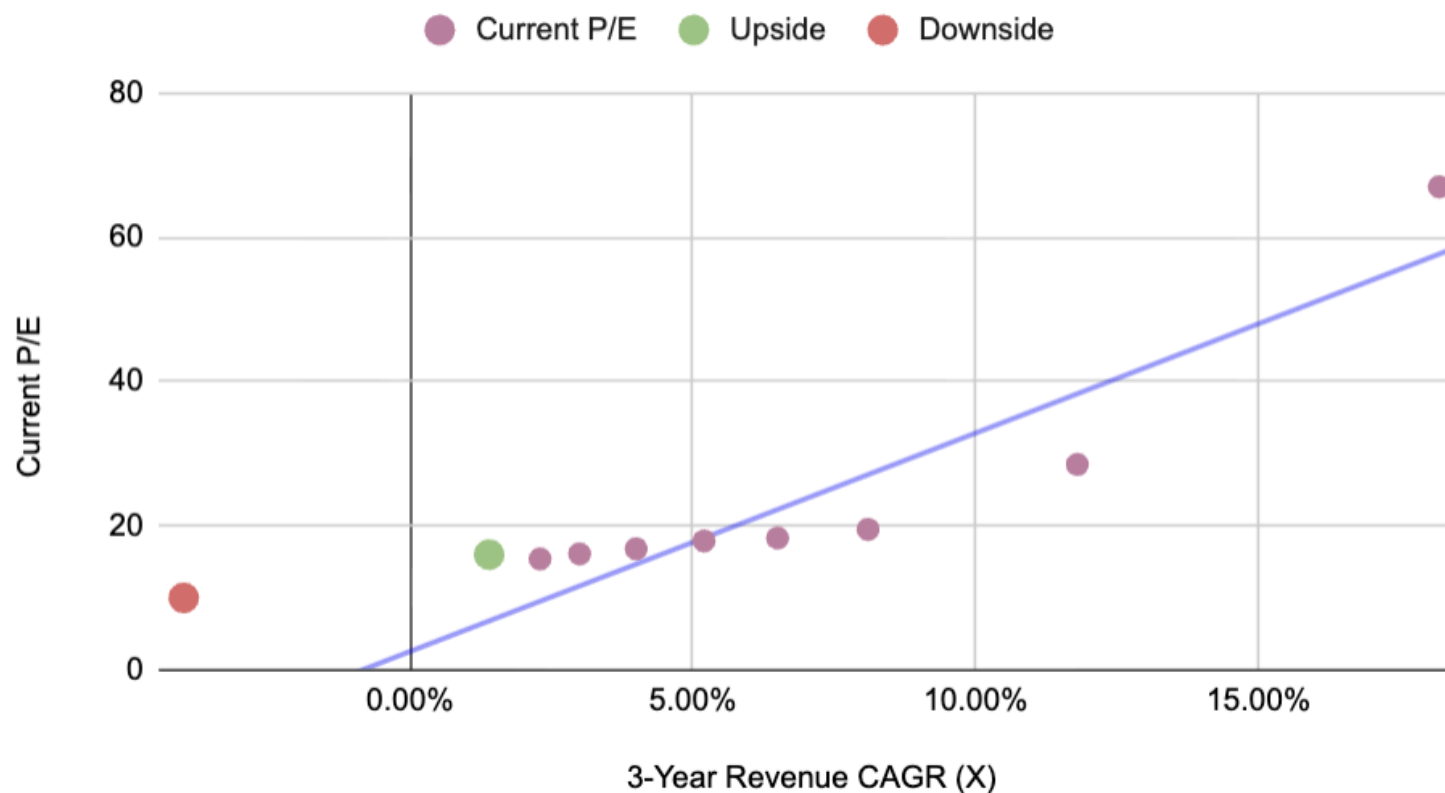
For our downside case, we've assumed that Bristol Myers Squibb could experience a **-4.0% growth rate over the next 5 years**. This reflects the impact of major patent expirations, increased competition, and slower growth from newer products.



FUTURE P/E MULTIPLES WILL BE DRIVEN BY THE GROWTH RATE

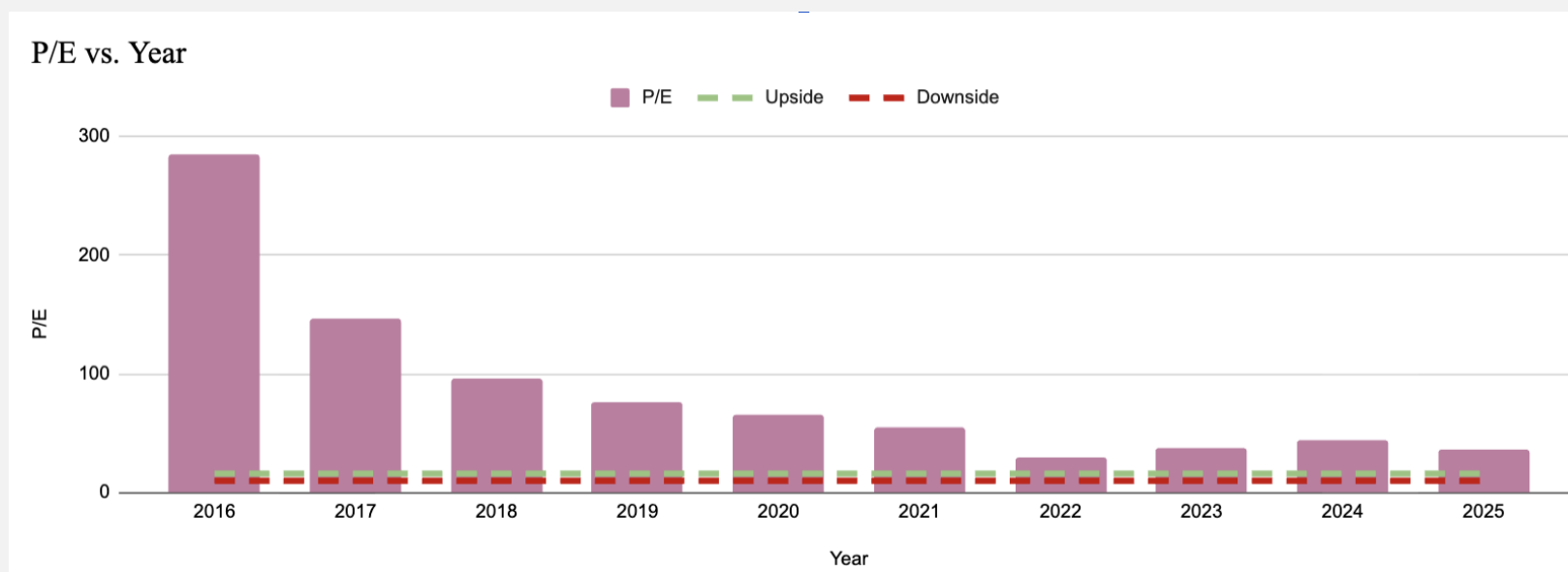
P/E Multiple vs 3yr Revenue CAGR

Current P/E vs. 3-Year Revenue CAGR (X)



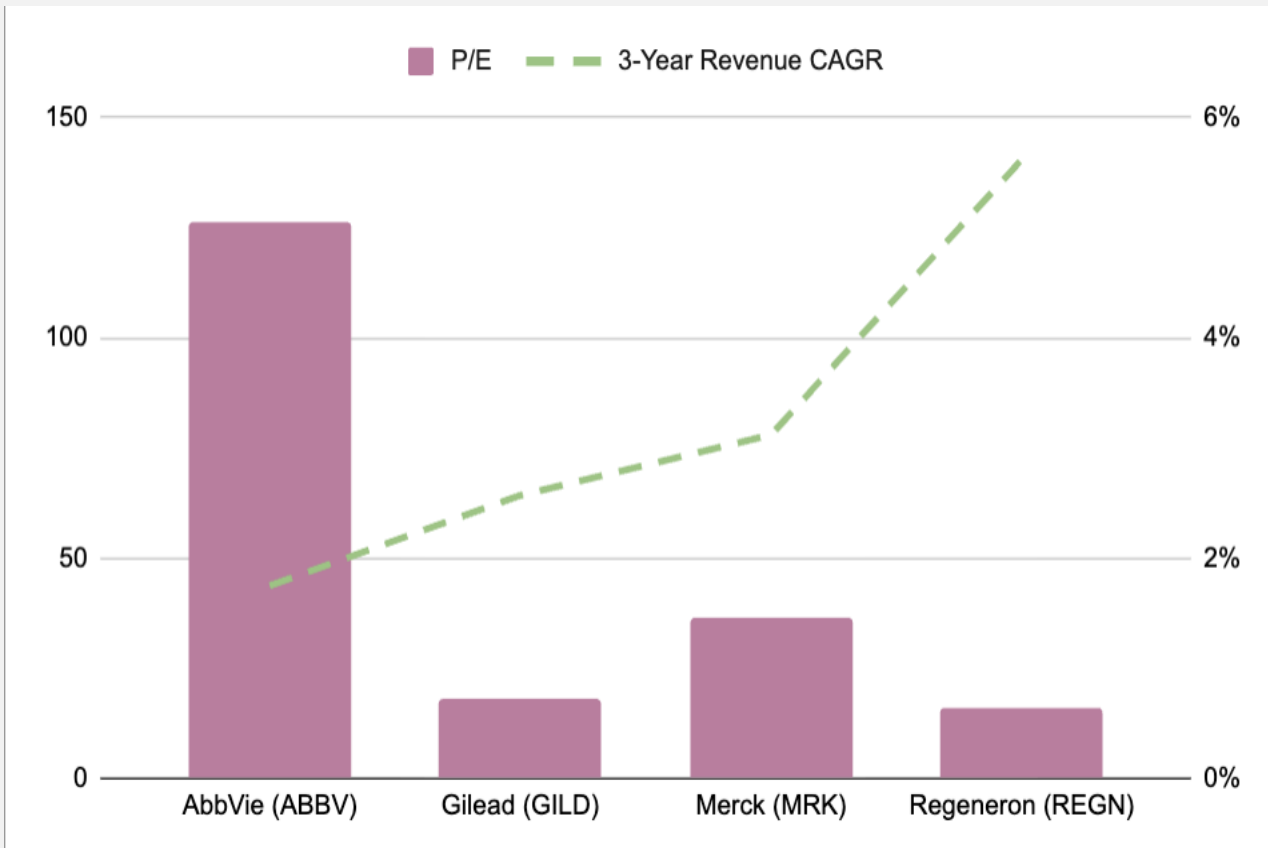
EVALUATING FUTURE P/E ASSUMPTIONS

Historical Bristol Myers Squibb P/E Multiples

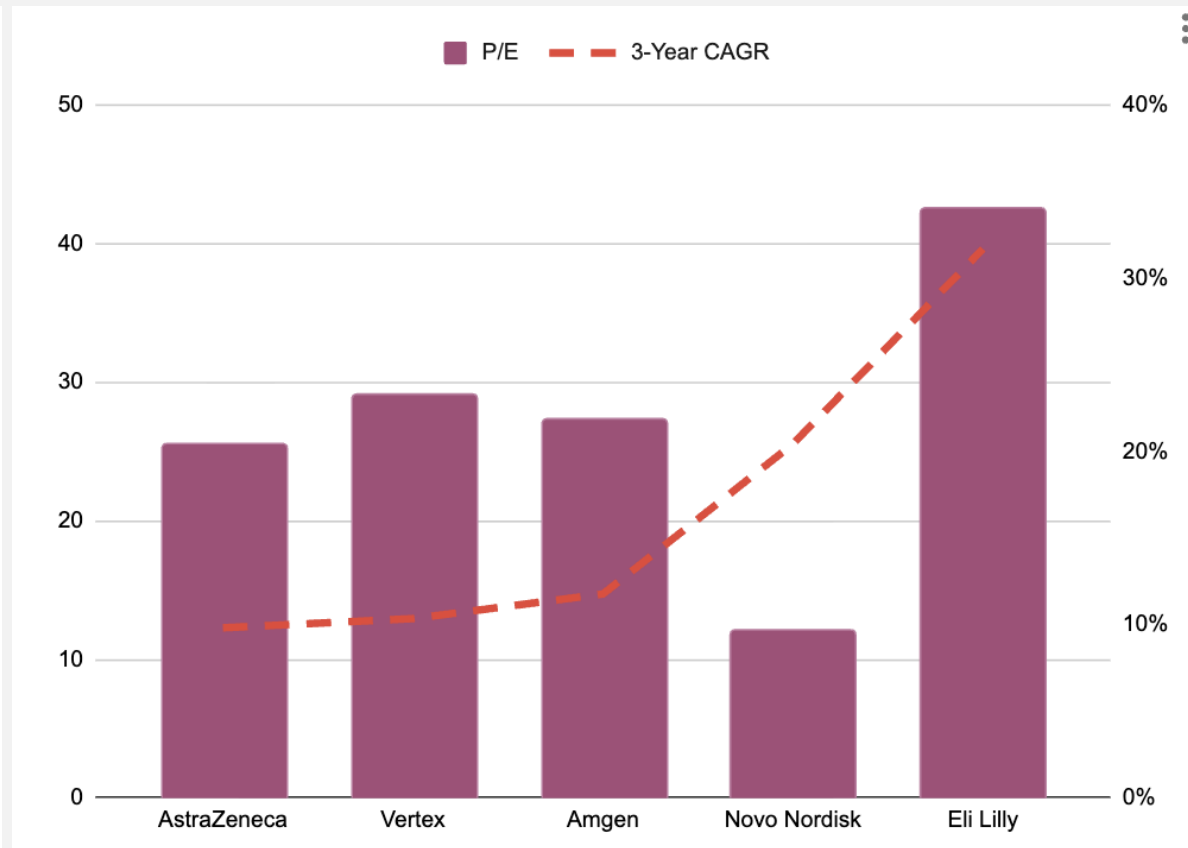


Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
YoY Revenue Growth	30%	32%	35%	28%	24%	19%	6%	7%	16%	16%

EVALUATING FUTURE P/E ASSUMPTIONS



Slow Growth Peers

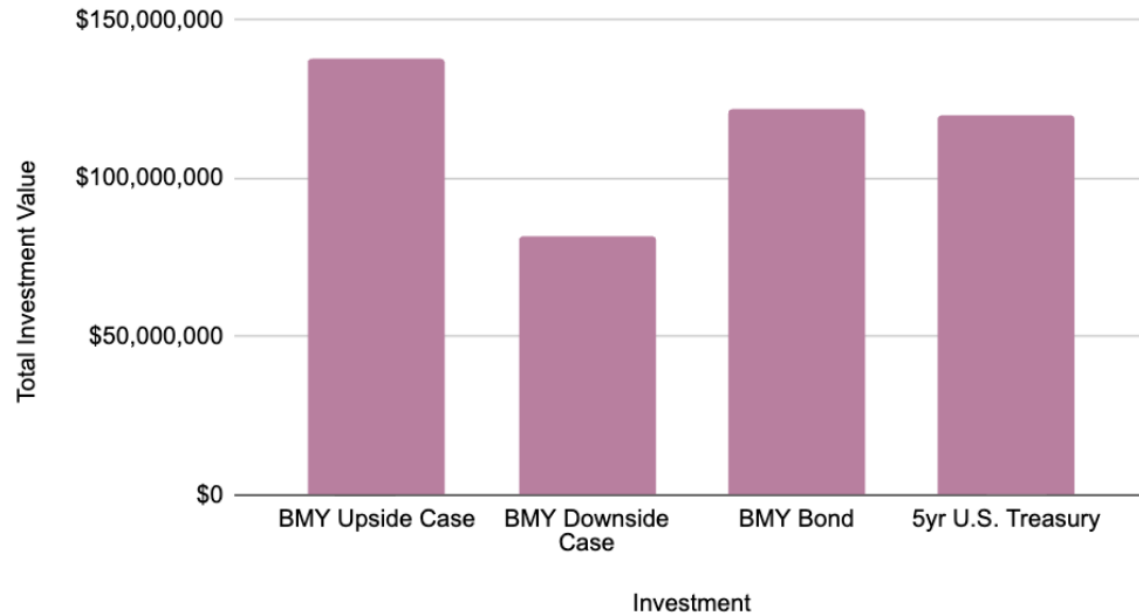


Fast Growth Peers

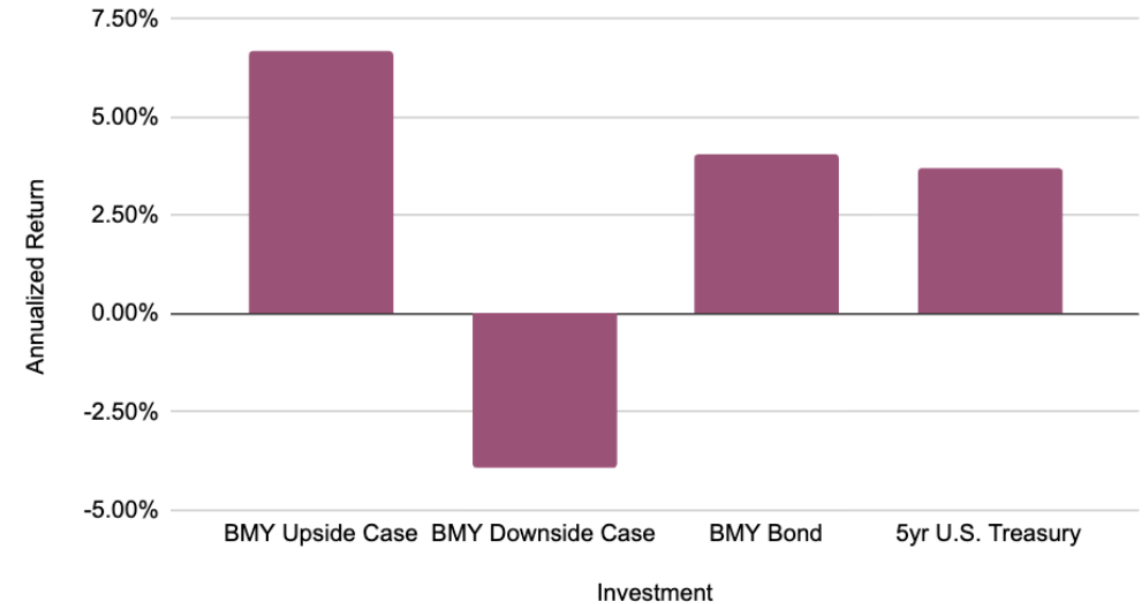
EVALUATING CAPITAL ALLOCATION ALTERNATIVES

Risk/Return Comparison (Based on \$100mm Investment)

Total Investment Value vs. Investment



Annualized Return vs. Investment



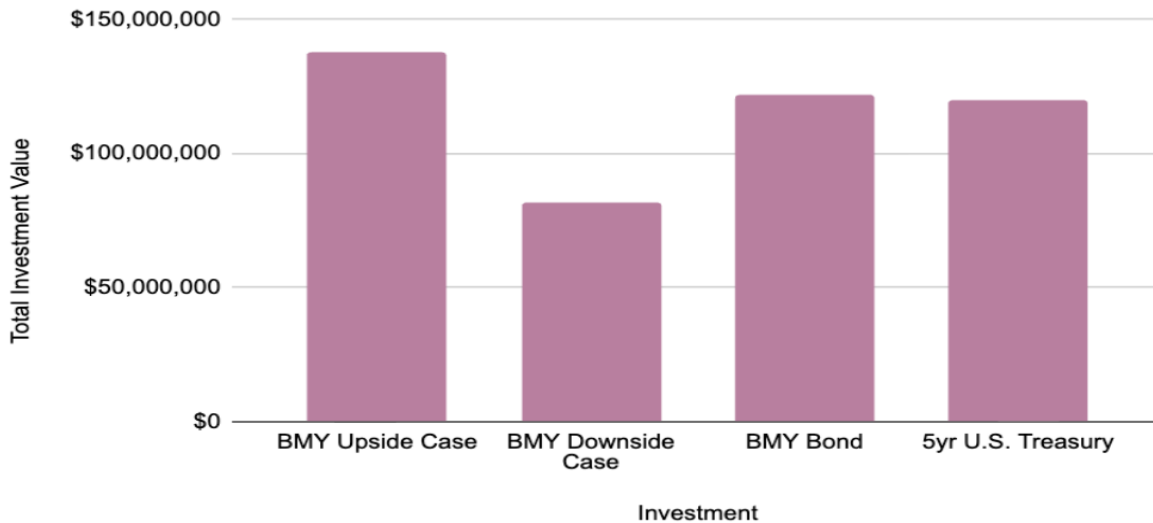
Slow Growth Peers

Fast Growth Peers

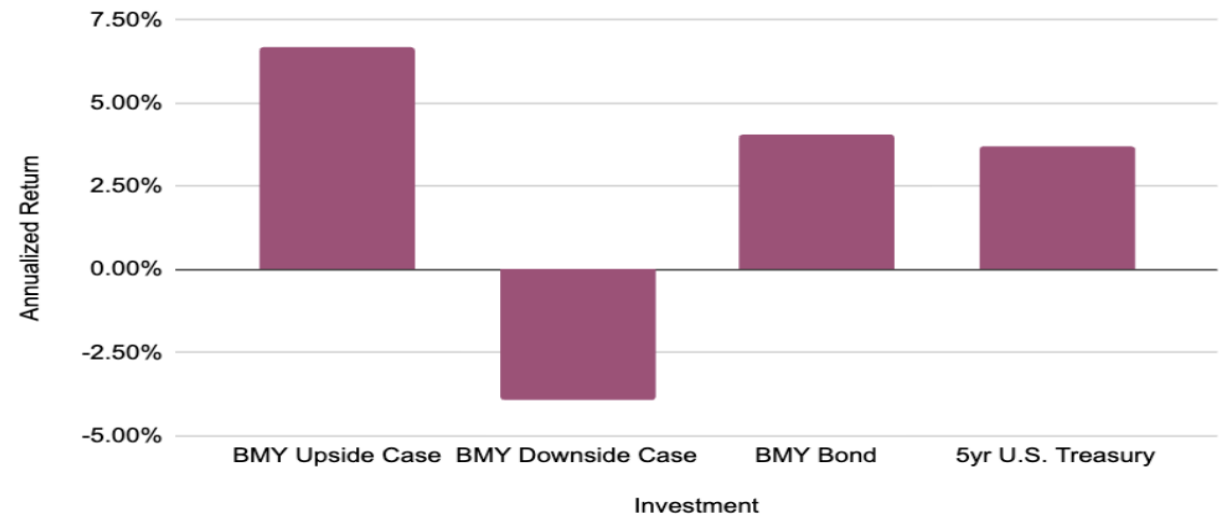
EVALUATING CAPITAL ALLOCATION ALTERNATIVES

Risk/Return Comparison (Based on \$100mm Investment)

Total Investment Value vs. Investment



Annualized Return vs. Investment



	BMY (Upside)	BMY (Downside)	BMY Bond	5yr U.S. Treasury
Expected Market Value in 2030	\$138,000,000	\$82,000,000	\$100,000,000	\$100,000,000
Dividends / Interest	—	—	\$22,000,000	\$20,000,000
Total Expected Future Value	\$138,000,000	\$82,000,000	\$122,000,000	\$120,000,000
Expected 5yr Annualized Return (%)	6.67%	-3.92%	4.06%	3.71%
Probability Actual Return is Less	90%	5%	<1%	0%